

Provo 42 Foundation — Control & Governance Architecture

Version: v0.2 **Date:** 2026-09-09 (Wednesday) **Status:** Working design document. Not legal advice. Confirm all statutory, tax (ANBI), and notarial specifics with a Dutch stichting-specialist notary and a nonprofit tax advisor before acting. **Prepared for:** David — Provo 42 Foundation *i.o.* (in formation)

0. The core design principle

The entire architecture rests on one idea:

Control is not surrendered by promise. It is surrendered by structure.

A Dutch *stichting* has no owners and no members. Nobody holds shares, nobody can sell it, nobody inherits it. It is governed solely by its board (*bestuur*), and the board's power is fenced by the *statuten* (articles) and by law. The goal — "*me and my family are not in control*" — is therefore achieved through two levers working together:

1. **Who sits on the board.**
2. **What the *statuten* permit the board (and the founder) to do.**

Getting both right at the notary is the whole task. Everything below is an elaboration of these two levers.

1. Terminology reference

- **Stichting** — Dutch foundation; no owners, no members, governed by its board.
- **Stichting in oprichting** — "foundation in formation"; the pre-incorporation state.
- **i.o.** — the abbreviation appended during formation (e.g. "*Provo 42 Foundation i.o.*").
- **In formation** — English gloss (i.e. *being formed*), written as two words.
- **Statuten** — the articles / constitution; where control actually lives.
- **Bestuur** — the board.
- **Bestuurder** — a board member / director.
- **Coöptatie** — the sitting board appoints its own successors by vote.
- **Bekrachtiging** — formal ratification by the board of acts done before incorporation.
- **ANBI** — *Algemeen Nut Beogende Instelling*; Dutch public-benefit tax status.
- **Werkorganisatie** — the paid staff / working organisation (distinct from the board).

Liability note: during the *i.o.* window the entity does not yet legally exist, so people acting on its behalf can be **personally liable** until the notarial deed passes and it is registered with the KvK.

2. Formation sequence (step by step)

1. **Draft the *statuten* first — before the notary.** This is the constitution and where the anti-capture design is encoded. Do not accept a boilerplate template for the governance clauses; they are the point.
2. **Pass the notarial deed + register with the KvK.** The foundation legally exists from the deed. As founder you hold a one-time power: appointing the first board. Spend it on independence, not retention.
3. **Seat an independent board and do not dominate it.** Odd number, ideally you a minority or off within a defined transition window written into the *statuten*.
4. **Separate governance from employment.** The person who *runs* the work (you, as paid staff) must not be the person who *controls* the body that hires and pays them.
5. **Get hired at market rate — cleanly** (see §6).
6. **Lock the family out structurally** (see §7).

3. The board

3.1 Size

- Legal minimum: **one** board member. Legal maximum: none.
- **Prefer odd numbers** (3, 5, 7) — even boards can deadlock, and a chair's casting vote quietly concentrates power.

- **Larger boards dilute the founder's vote.** On a board of three you need to flip only one other person; on a board of five you must move two. Size is itself an anti-capture lever.
- **Sweet spot for Provo 42: five.** Odd, meaningfully dilutes the founder, and fits the four domain seats (open-source governance, research, IP law, anti-fraud) plus one.
- Counter-pressure: **engagement.** An engaged five beats an absentee seven. Absentee seats re-concentrate power in whoever shows up — i.e. the founder.

3.2 Independence vs. conflict of interest — two different tests

- **Independence** is about *control*: is this person free of dependency on you or your family? Recruiting from your professional network is normal and fine. A CEO with their own standing and income is *independent* even if you know them — because you are not their paycheck.
- **Not independent:** someone who reports to you, depends on you as a major client, is in a reciprocal-favour dynamic, or shares a financial stake with you.
- **Conflict of interest** is per-*decision*, not per-person: even a fully independent member can be conflicted on a specific vote (e.g. the foundation transacting with their company). Handled by **disclose-and-recuse**, written into the *statuten*.
- **Aggregate risk:** if *every* seat is from your network, the board collectively reads as "David's people" even if each individual is clean. Fill at least some seats from outside your circle. Appearance matters for a governance-focused project.

3.3 Succession — the hinge clause

- Use **coöptatie**: the sitting board appoints successors by vote, founder recused or in the minority.
- Under coöptatie, "rotating out" a member is a **board act**, not a **founder act**. This is the difference between healthy renewal and the founder repacking the board.
- Add **term limits and staggered terms** so renewal happens on a schedule and nobody has to *choose* to remove anyone.
- **The first board-appointed independent who is not from your network is the moment "not in control" becomes true in force, not just in form.**

4. Two formation paths — a decision you must make

Path A — Form with three (recommended)

You + two independents (e.g. a nonprofit CEO and a for-profit CEO) from day one. - **Pro:** independence exists *in force* immediately — real board, real votes, real recusal. There is never a window where you are the unchecked whole of the foundation. - **Con:** you cannot file until two others have signed on (this is what the board pledges in §9 are for).

Path B — Form as sole founder, with your exit encoded in the *statuten*

Legally valid (a stichting may form with one director). Your retirement, succession, and board-building rules are written into the constitution and bind you the moment the deed passes. - **Risk — total unchecked control during the sole window.** The anti-capture design exists only as text; no independent body is yet exercising it. - **The hinge:** if the board can amend the *statuten* and you *are* the whole board, you could rewrite your own exit. **Therefore the amendment power must be locked** — bar amendment until the full board is seated, or require a quorum/supermajority a single member cannot meet, or **entrench** the retirement/succession clauses as unamendable. - **Fragility:** a sole director who is incapacitated leaves the foundation unable to act. Add a fallback mechanism (external body or named procedure) that can seat a board. - **Failure mode:** "temporary" sole control that quietly becomes permanent because it is convenient.

Guidance: Path A matches the stated goal, because a seated independent board is a *fact* while an encoded retirement is a *promise* — and the whole session has chosen facts over promises. Use Path B only if there is a real reason to move now (grant deadline, timestamp/priority for the "first node" framing), and only with the amendment lock and a hard deadline for reaching three.

5. Founder's spend / founder's loan (~€4-5k already committed)

- Money already spent (largely pre-incorporation) cannot be a loan from an entity that did not yet exist. Document it now as **costs incurred by the founder on behalf of the foundation i.o.**, then have the independent board **ratify** (*bekrachtiging*) it after formation.
- **Start an itemised ledger today** (date, amount, vendor, purpose, which foundation aim it served) while receipts and memory are fresh — the same receipts discipline as the corpus.
- A founder-creditor relationship is a **lever of influence** — the opposite of what you are building. Three options, cleanest first: 1. **Gift (*schenking*)** — donate it, no claim remains. Cleanest for independence. Best match if losing it would not hurt the household. 2. **Subordinated, interest-free, unsecured founder's loan** — keeps the claim but deliberately defangs it (repayment only when genuinely able, behind all other obligations). The disciplined middle path if €5k is real money you want back. 3. **Expense reimbursement** — if it was operational cost, the board simply reimburses once funds exist.
- **Avoid** a normal loan with interest and repayment rights — it rebuilds the leverage you are giving up.

- **Whichever path: decided by the independent board with you recused.** Repaying/reimbursing the founder is a related-party transaction.

6. Getting hired at market rate — cleanly

The order of operations is what prevents self-dealing: 1. The **independent board** (you recused or already off) defines the role, the market rate, and the contract. 2. **Market rate needs an arm's-length basis** — a benchmark, salary survey, or external advisor's letter — documented in the minutes. (Receipts principle, applied to your own pay.) 3. **You do not vote on, negotiate both sides of, or set your own compensation.** The conflict-of-interest clause should render your participation formally void. 4. The contract is a normal employment/contractor agreement, signed by board members who are not you. 5. **You belong in the *werkorganisatie* (paid staff), not on the board**, for the paid role — ANBI limits board compensation to expenses plus modest attendance fees.

7. Locking the family out — structurally

Into the *statuten*: - Family members **cannot be appointed** to the board. - Related-party transactions require **unanimous approval of the disinterested members**, plus documentation. - The **dissolution (*ontbinding*) clause** must send any remaining assets to a **similar-purpose foundation — never to the founder or heirs**. This is what stops the whole thing from ever being quietly converted back into family money. It is also an ANBI requirement. - Your partner should **not** hold a seat, even transitionally — a founder-plus-family seat at formation is the most common way "not in control" silently fails on day one.

8. Fundraising

8.1 While *i.o.* — raise commitments, not cash

- An *i.o.* entity cannot safely hold others' money; funds collected into a personal account recreate the "founder controls the money" problem.
- **Prefer pledges/intent over cash.** No money moves until the foundation exists with a bank account in its own name.
- If money *must* be taken now, ring-fence it in a dedicated held-on-behalf-of account and have the board ratify the transfer after formation. Minimise this.
- **Do not run public crowdfunding while *i.o.*** Broad solicitation by a non-existent entity with no oversight is where things go wrong.
- Your own founder's spend is legitimate *i.o.* self-funding — just documented (\$5).

8.2 After formation

- **ANBI status is the big strategic decision.** It makes donations tax-deductible, exempts the foundation from gift/inheritance tax on gifts received, and signals credibility. Its requirements (no single-person control, capped board pay, similar-purpose dissolution clause, public transparency) **reinforce** the anti-capture design rather than constrain it. Treat it as a near-term goal; confirm current rules with a nonprofit tax advisor.
- **Channels, best fit first:** grants (Dutch cultural funds, EU open-source/digital-heritage, research foundations) → donations (tax-deductible under ANBI) → earned/mission-related income (licensing, commissions; surpluses recycled, never distributed) → in-kind (compute, hosting, infrastructure).
- **Gift acceptance is a board decision.** A conditional gift ("fund you, but you must do X") is capture-by-donor — the external mirror of capture-by-founder. A written **gift-acceptance policy** lets the board decline strings.

9. The two pledges

Two **distinct** instruments — deliberately separate, because they carry different weight, and because someone who is both a major donor and a director holds two kinds of stake that the disclose-and-recuse machinery must see.

Pledge 1 — Donation (light; about runway)

Intent to give once the foundation is legally formed (and ANBI-registered, if applicable). Good-faith, **no token euro** — Dutch law needs no "consideration," and a euro merely recreates the pre-incorporation cash-handling problem. Conditional on incorporation; the gift goes to the foundation's own account. The **wait is better for the donor**: a post-incorporation gift to an ANBI is tax-deductible; a euro to David-holding-funds today is not. Treat pledges as a runway indicator, not money in the bank — do not spend against them until converted.

Note: the symbolic €1 is theatre. Skip it.

Pledge 2 — Board commitment (heavy; about legal office)

An agreement, once the foundation exists, **either** to accept appointment to a specified board seat **or** to actively help identify and

- recommend a comparably-qualified candidate for that seat — **with appointment of any candidate made by the board under its coöptatie procedure and subject to its independence requirements.**
- Board membership is an **office with fiduciary duties and possible liability**, not a favour. The signer must understand *that*. The board-willingness letter doubles as a **filter**: someone who reads what the office entails and still signs is a far more reliable director.
 - The "serve **or** source a replacement" structure makes the pledge robust — it commits the signer to the *seat profile*, not merely to their own attendance, and is an easier yes.
 - **Guard the replacement route**: "source a candidate" must mean *surface for board vote*, **not** *seat my own successor*. Otherwise you solve your own succession-control problem only to hand a miniature version of it to each pledger.
 - **Define what each seat's qualification is for**. "CEO of a major medical company" is a proxy — for domain credibility, institutional weight, or regulatory fluency. Write the real need per seat so "comparable" has a yardstick.
 - Board pledges are also what make **Path A (form with three)** executable — and thus what dissolves the sole-founder risk in §4. **Over-subscribe them**; assume one falls through.

10. Open decisions (to resolve before the deed)

1. **Formation path**: A (form with three) or B (sole founder with entrenched exit)?
2. **Board size / composition**: confirm target of five; identify which seats come from outside your network.
3. **Founder's spend**: gift, subordinated loan, or expense reimbursement?
4. **ANBI**: pursue, and on what timeline?
5. **Copyright/licence holder** (from v0.1): hold in David's name and assign on incorporation (recommended), or the *i.o.* notice? Fill the legal-name placeholder.
6. **Professional advisers**: engage a stichting-specialist notary and a nonprofit/ANBI tax advisor before drafting the *statuten*.

End of v0.2. This document supersedes the v0.1 scratchpad clean-up for governance matters. It records design intent from the 2026-09-09 working session and is meant to be printed and brought to professional advisers, not filed as-is.